

Executive Memo

Subject: Feature Intervention to Improve SaaS Retention and Premium Conversion

Background

Analysis of a simulated dataset of 100 SaaS users found a 30-day retention rate of 61%. Correlation analysis showed that Tutorial Watch Time ($r=0.82$) was the strongest predictor of conversion from the Free plan to the Premium plan. Profile completion ($r=0.77$) and projects created ($r=0.69$) were also strong indicators, suggesting that successful onboarding is the primary driver of activation and long-term engagement.

Recommendation

Implement an **Interactive Guided Onboarding** feature. Instead of relying on passive tutorials, new users should receive contextual walkthroughs, progress checklists, tooltips, and milestone rewards that guide them through key activation tasks such as completing their profile, watching onboarding content, and creating their first project.

This recommendation is based directly on the observed relationship between onboarding engagement and Premium conversion. By reducing friction during the first user session, the product can shorten time-to-value and increase the likelihood that users experience the product's core benefits before disengaging.

Expected Business Impact

The intervention is expected to increase the 30-day retention rate from **61% to 72%**, improve Premium conversion from **32% to 42%**, and reduce monthly churn from **39% to 30%**. These estimates represent an improvement of 11 percentage points in retention, 10 percentage points in Premium conversion, and a 9 percentage point reduction in churn.

Success Metrics

Track onboarding completion rate, Day-7 activation, Day-30 retention, Premium conversion rate, churn rate, and average time to first project. Run an A/B test comparing the current onboarding experience against the guided onboarding flow for four to six weeks.

Conclusion

The evidence indicates that improving onboarding provides the highest expected return among the evaluated product opportunities. Prioritizing an Interactive Guided Onboarding feature is likely to improve customer retention, increase subscription revenue, and strengthen long-term product adoption.